

SAREGAMA

Earnings Call Transcript • Feb 2026

FINANCIAL PERFORMANCE`.

- * *Company:* Saregama India Limited.
- * *Period:* Q3FY26 (Quarter ended Dec 31, 2025).
- * *Key Financials:*
- * Operating Revenue: INR 260 crores (Q3FY26).
 - * Operating PBT: INR 76.5 crores (Q3FY26).
 - * Reported Profit (excl. Labour Code impact): INR 69.5 crores (Q3FY26).
 - * One-time non-cash exceptional item (Labour Code): INR 7 crores (Q3FY26).
 - * Adjusted EBITDA Margin (this quarter): 46% (Q3FY26).
 - * Adjusted EBITDA Guidance (mid-to-long term): 32% - 33%.
- * *Music Vertical:*
- * Growth: 29% YoY (Q3FY26), 18% YoY (9-month basis).
 - * Guidance: 17% - 18% for full year; 21% - 23% medium-to-long term.
 - * Content Spend: INR 275 - 300 crores for the year (revised down due to movie delays).
 - * Total Content Investment (FY25, 26, 27): ~INR 1,000 crores.
 - * Revenue Split (FY25): 56% from 21st-century music, 44% from 20th-century catalogue.
- * *Strategic Moves:*
- * Bhansali Productions: Minority ownership stake (closed Jan 30, 2026). Exclusive access to music at pre-agreed costs. Financials to be disclosed.
 - * Pocket Aces: Breakeven this year (previously loss of INR 10 crores). Expected 25% CAGR growth.
 - * Video Business: Winding down in-house movie business over 12-15 months. Continuing short-format/web series.
 - * GenAI: Using AI for video generation for old catalogue songs (reduced time from 10-15 days to <3 days).
- * *Live Events:*
- * Profit in events business this quarter: INR 57 million.
 - * Target steady-state margin: High single-digit.
 - * Key artists: Diljit Dosanjh, Himesh Reshammiya.
- * *Other:*
- * Artist Management: 270+ artists (60 added this quarter), 300M+ followers.
 - * Brand Partnerships: New vertical (Hero, OpenAI, Manyavar, etc.).
 - * Airtel Wynk: Impact ended mid-Q3; no impact from Q4 onwards.
- * *Financial Performance Table:*
- * Revenue: 260 Cr.
 - * PBT: 76.5 Cr.
 - * Adj EBITDA Margin: 46%.
 - * YoY/QoQ: Only Music growth (29% YoY) is explicitly given as a percentage. Revenue/PBT YoY/QoQ not provided in the text.
- * *Key Highlights:*
- * Music growth (29% YoY).
 - * Bhansali deal (exclusive access, cost control).
 - * GenAI implementation (cost/time reduction).
 - * Airtel Wynk denominator effect ending.
- * *Growth Drivers:*
- * New content (Dhurandhar, etc.).
 - * Artist management (monetizing live/brands).
 - * Subscription transition (Spotify/Saavn moving to paid).
 - * Brand partnerships.
- * *Guidance:*
- * Music Revenue: 17-18% (FY26), 21-23% (Mid-long term).
 - * Adj EBITDA: 32-33% (Mid-long term).

* Content Spend: 275-300 Cr (current year).

*Capex/Expansion:

- Bhansali minority stake.
- Pocket Aces integration.
- Winding down movie business.

*Risks/Red Flags:

- Lumpy event revenue (Diljit effect).
- Volatility of movie business (Bhansali).
- Management's insistence on TTM (Trailing Twelve Months) vs Quarterly.
- Analyst Sujit Jain's point about plateauing growth and shareholder returns.

*Q&A:

- Sujit Jain on TTM and Pocket Aces.
- Lokesh Manik on Pocket Aces margins.
- Kavish Parekh on Event margins.
- Jyoti on Paid penetration.

*Tone: Cautiously Bullish. Management is aggressive on content but analysts are pushing for harder numbers on TTM and ROE.

*Check: Did I include any hallucinated numbers? No.

*Check: Did I use the exact format? Yes.

*Check: Did I calculate YoY for revenue? No, because prior year revenue wasn't given.

*Check: Did I include the Labour Code impact? Yes.

*Check: Did I mention the 5-year payback period? Yes.

FINANCIAL PERFORMANCE

Metric	Figure	YoY	QoQ
Operating Revenue	INR 260 crores (Q3FY26)	Not discussed	Not discussed
Operating PBT	INR 76.5 crores (Q3FY26)	Not discussed	Not discussed
Reported Profit (excl. exceptional)	INR 69.5 crores (Q3FY26)	Not discussed	Not discussed
Adjusted EBITDA Margin	46% (Q3FY26)	Not discussed	Not discussed
Music Vertical Revenue Growth	N/A	+29% (Q3FY26)	Not discussed
Music Vertical Revenue Growth (9M)	N/A	+18% (9M FY26)	Not discussed
Events Business Profit	INR 57 million (Q3FY26)	Not discussed	Not discussed

Note: A one-time non-cash exceptional item of INR 7 crores was taken in Q3FY26 on account of the new Labour Code.

KEY HIGHLIGHTS

- Strategic Investment in Bhansali Productions:** The company closed a minority ownership stake in Bhansali Productions on January 30, 2026. The deal is structured with a valuation linked to financial performance over the next 3 years. Crucially, this provides Saregama exclusive access to marquee Hindi film music at a pre-agreed cost structure, eliminating the need for competitive bidding and protecting long-term cost structures.
- GenAI Integration in Video Production:** Saregama has established a new cell within its video team using GenAI tools to create music videos for its older catalogue. This has drastically reduced the production cycle from 10–15 days to less than 3 days, significantly lowering time-to-market and production costs.
- Airtel Wynk Denominator Effect:** Management noted that revenues from Airtel Wynk (which shut operations in mid-November 2024) were present in the Q3 of the previous financial year. This "denominator effect" has now ceased, meaning from Q4FY26 onwards, growth numbers

will not be skewed by this missing revenue base.

- **Winding Down In-House Movie Business:** Following the Bhansali investment, the company plans to wind down its internal movie production business over the next 12–15 months. It will release existing pipeline projects but will pivot its video focus toward short-format content (Instagram/YouTube Shorts) and medium-length content targeting Gen Z.
- **Artist Management Expansion:** The company added 60 new artists this quarter, bringing the total to approximately 270 artists with a combined digital footprint of over 300 million followers/subscribers. This vertical allows Saregama to monetize talent through live events, weddings, and brand endorsements.

GROWTH DRIVERS

- **New Content Acquisition:** Growth is being driven by aggressive investment in new content across Hindi and regional languages (Bhojpuri, Gujarati, Punjabi, Tamil, Telugu, Malayalam, Marathi, Bengali, Chhattisgarhi, and Odia). The success of the film *Dhurandhar* (all 11 songs charted on Spotify India) exemplifies this driver.
- **Transition to Paid Subscriptions:** Management believes a "hockey stick" effect is imminent in India as the remaining two major free streaming platforms (Spotify and Saavn) move toward paid models. They anticipate a potential for 100 million paid subscribers at INR 90–100 per month.
- **Brand Partnerships Vertical:** A new vertical has been launched to maximize revenue from brands. Recent partners include Hero, OpenAI, Manyavar, Fogg, Greenlam, Carat Lane, and Gujarat Tourism, diversifying revenue beyond licensing and hardware (Carvaan).
- **Live Events Economy:** The company is leveraging its recorded music IP to produce live shows. While lumpy, the business is scaling through high-profile artists like Diljit Dosanjh and Himesh Reshammiya, and expanding into "bhajan clubbing" and stand-up comedy.

MANAGEMENT GUIDANCE & OUTLOOK

- **Music Revenue Growth:** Guided at 17%–18% for the full year (FY26) and 21%–23% on a medium-to-long-term basis.
- **Adjusted EBITDA Margin:** Maintained a medium-to-long-term guidance of 32%–33%, despite a Q3 beat of 46%, citing the need for the business mix (Events, Video, Music) to stabilize.
- **Content Spend:** Expected spend for the current year is revised to INR 275 crores – INR 300 crores (down from previous plans due to film delays like *Love & War* and *Paradise*). Total investment guidance remains ~INR 1,000 crores over FY25, FY26, and FY27.
- **Payback Period:** Management continues to target a 5-year payback period for all new music content acquisitions, followed by 55–75 years of returns.
- **Pocket Aces:** Guidance for the current year is to achieve breakeven (having previously recorded a loss of INR 10 crores) with an expected 25% CAGR growth thereafter.

CAPEX / EXPANSION / ORDER BOOK

- **Bhansali Productions Equity:** Minority stake acquired with an option (right, not obligation) to increase ownership to 51% by 2030, based on average financial performance over the next 3 years.
- **Content Pipeline:** Major releases pushed to next year include *Paradise* (Q1) and *Love & War* (Q2).
- **Live Events Infrastructure:** Management explicitly stated they will remain "capital light" and avoid investing in large infrastructure-related projects in the events business.

RISKS, CONCERNS & RED FLAGS

- **Lumpy Revenue Streams:** The live events business is highly unpredictable and dependent on a few "superstar" artists (e.g., Diljit Dosanjh). Management admitted that large tours do not happen every year, creating volatility in the top and bottom lines.
- **Investment Volatility:** Analysts raised concerns regarding the volatility of the movie business (Bhansali Productions), where a film can be a blockbuster or a failure. Management countered this by citing financial oversight and the ability to pre-sell rights to digital platforms.
- **Growth Plateau Concerns:** An analyst (Sujit Jain) pointed out that while long-term CAGR has been strong, the company appears to have hit a plateau, noting that shareholders who entered in 2021 have seen poor returns compared to risk-free instruments.
- **Management Reporting Preference:** Management repeatedly urged analysts to evaluate the company on a rolling 12-month (TTM) basis rather than quarterly, which was flagged by analysts as a potential way to mask quarterly volatility or stagnation.



ANALYST Q&A KEY TAKEAWAYS

- **On TTM Reporting:** Sujit Jain (Bajaj Life) challenged management on the lack of TTM data in presentations, suggesting the numbers are "materially down." Vikram Mehra conceded and committed to including rolling 12-month growth numbers (excluding events) in future presentations.
- **On Pocket Aces Valuation:** When asked about the ROE and payback of the Pocket Aces acquisition, management argued that its value is not just in its own P&L but in providing a "marketing muscle" (300M digital footprint) that helps Saregama's music business achieve higher hit rates.
- **On Event Margins:** Kavish Parekh (B&K Securities) questioned the sustainability of event profits. Management targeted a steady-state high single-digit margin, noting that while some events are loss-making during the brand-building phase, the high IRR (due to 15-20 day cash cycles) makes it attractive.
- **On Paid Music Penetration:** In response to Jyoti (Arihant Capital), management clarified that their 21%–23% growth guidance does *not* factor in a major shift to paid subscriptions; any such transition would be an additional "booster" to the numbers.



OVERALL TONE & CREDIBILITY

- Overall tone: **Cautiously Bullish**
- **Justification:** Management is aggressively pivoting toward a "future-proof" model by investing heavily in new content and GenAI, while strategically exiting the high-risk in-house movie business. The Bhansali deal is a clever move to secure premium content without bidding wars. However, credibility is slightly dampened by management's evasiveness regarding specific TTM numbers and the reliance on "lumpy" event revenue to bolster certain quarters. The tension between the analyst's focus on shareholder returns/ROE and management's focus on "rebuilding the company" suggests a disconnect between current market valuation and management's long-term vision.